

Luxshare Precision Industry Co. Ltd. (Luxshare)

TICKER
2475

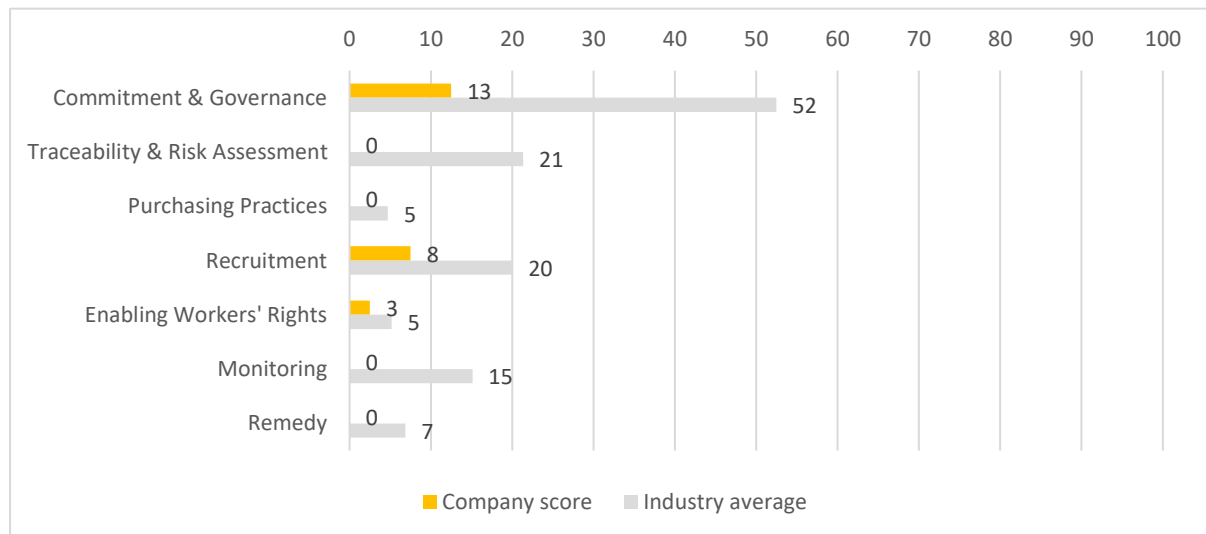
MARKET CAPITALISATION
US\$19.3 billion

HEADQUARTERS
China

DISCLOSURES
UK Modern Slavery Act: No

California Transparency in Supply Chains Act: Applicability not determined

Australia Modern Slavery Act: Not applicable

OVERALL RANKING
43 out of 45
[2022 Rank](#): 54 out of 60¹
OVERALL SCORE
4 out of 100
THEME-LEVEL SCORES

KEY DATA POINTS
FIRST-TIER SUPPLIER LIST
 No

RISK ASSESSMENT
 No

ENGAGED WITH KNOWTHECHAIN²
 No

NO-FEE POLICY

Yes (Employer Pays Principle)

REMEDY FOR SUPPLY CHAIN WORKERS
 No

HIGH-RISK SOURCING COUNTRIES³
 China

SUMMARY

Luxshare Precision Industry Co. Ltd. (Luxshare), an electronic components manufacturer which supplies to companies such as Microsoft and Nokia, ranks 43th out of 45 companies and scores zero on four out of seven themes. Since 2022, the company has established a new channel for supply chain workers to raise grievances. However, the company did not improve across other themes and, as such it has maintained its score. The company's score is based on its disclosure of a supplier code of conduct that prohibits forced labour and worker-paid recruitment fees. The company is encouraged to improve its performance and disclosure on themes including Commitment & Governance, Traceability & Risk Assessment and Monitoring.

LEADING PRACTICES

None.

OPPORTUNITIES FOR IMPROVEMENT

Commitment & Governance: While the company discloses a supplier code of conduct that includes five ILO labour conventions, the company is encouraged to engage in capacity building so that its suppliers can cascade its supply chain policies that address forced labour to their own supply chains. The company should establish and disclose a managerial structure with clear responsibilities and accountability for the implementation of its supply chain policies that address forced labour and provide oversight of such policies at the board level.

Traceability & Risk Assessment: The company may consider disclosing the names and addresses of its first-tier suppliers, the countries in which its below-first-tier suppliers operate, the countries from which it sources raw materials at high risk of forced labour, and data on the demographics of the supply chain workforce (such as the percentage of women and migrant workers). While the company states it uses the "GRI principles [as a] basis on which it prioritises the identification of material issues", to demonstrate a strong understanding of its supply chains, the company is further encouraged to assess forced labour risks across its supply chains and disclose the risks identified.

Monitoring: While the company discloses a "triple audit mechanism consisting of internal specialised audits, client audits, and external third-party audits (such as RBA) to assess labor-related issues", it is unclear whether this approach is taken with suppliers. As such, the company may consider adopting and disclosing a supplier monitoring process to verify that its suppliers are compliant with its supply chain policies. Implementing specific practices, such as interviewing workers and, in particular, using worker-driven monitoring (i.e. monitoring undertaken by independent organisations that includes worker participation and is guided by workers' rights and priorities), may help the company detect forced labour risks in its supply chains. Disclosing information on the results of its monitoring efforts, such as the percentage of suppliers assessed annually and a summary of findings, assures stakeholders that the company has strong monitoring processes in place.

¹ The number of companies assessed in the ranking has decreased from 60 in 2022 to 45 in 2025.

² Research conducted through September 2024 or through December 2024, where companies provided additional disclosure or links. For more information, see the full dataset [here](#). For information on a company's positive and negative human rights impact, see the Business & Human Rights Resource Centre [website](#).

³ For further details on high-risk raw materials and sourcing countries, see KnowTheChain's [2025 ICT benchmark findings report](#).